ECONOMIC SURVEYS BY THE OECD

BELGIUM-LUXEMBOURG ECONOMIC UNION

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JUNE 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

ECONOMIC SURVEYS BY THE OECD

BELGIUM-LUXEMBOURG ECONOMIC UNION

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co operation continues in the O.E.C.D., which came into being on 30 September 1961.

The members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in July 1964.

BELGIUM

BASIC STATISTICS

THE LAND

Area (1,000 s. km)	30.5
Agricultural area (1,000 s. km)	16.9

Main urban areas:	inhabitants
— Brussels	1,023,693
— Antwerp	647,060
— Liège	446,414

THE PEOPLE

Population (1962)	9,251,000
Number of inhabitants per sq. km (1962)	303
Population net natural increase	
Yearly average (1959-62)	47,750
Yearly rate per 1,000 inhabitants (1959-61)	5,51
Net migration (1962)	21,000
Total labour force (1962)	3,679,000
Wage and salary earners in agriculture (1962)	26,000
Wage and salary earners in manufacturing industries (1962)	1,108,000

PRODUCTION

Gross national product (1963))billions of Belgian francs)	694.8
Gross national product per head (1962) (U.S. $)	1,397
Gross fixed investment	
— Percentage of G.N.P. (1963)	20.2
— Per head (U.S. $) (1962)	276

National expenditure (1963) (billions of Belgian francs)	
— Private consumption	471.2
— Public consumption	87.0
— Enterprises gross fixed asset formation	121.7
— Government gross fixed asset formation	18.8
— Net exports	-3.9

THE GOVERNMENT

Current government expenditure on goods and services, 1963 (percentage of G.N.P.	23.8
Current government revenues 1962 (percentage of G.N.P.)	20.5
Central Government debt, 31st December 1962 (billions of Belgian francs)	416.7

Composition of the House of Representatives	
— Christian-Social Party	45 %
— Socialist Party	40 %
— Liberal Party	9 %
— Communist Party	2 %
— Others	4 %

Last election: 1961
Next election: 1965

LIVING STANDARDS

Calories per head, per day (B.L.E.U.) 1962-63	2,950
Consumption of electricity per head 1962 (kWh)	1,723
Number of private cars per 1,000 inhabitants (1962)	101
Number of telephones per 1,000 inhabitants (1961)	131
Number of T.V. sets per 1,000 inhabitants (1962)	110

FOREIGN TRADE

EXPORTS: Main exports in 1963 (percentage of total exports) (B.L.E.U.)	
— Base metals	25
— Textiles	14
— Machinery and equipment	10
— Transport equipment	7
— Metal manufactures	4

IMPORTS: Main imports in 1963 (percentage of total imports) (B.L.E.U.)	
— Minerals	11
— Machinery and equipment	15
— Transport equipment	9
— Textile fibre	10
— Base metals	11

THE CURRENCY

Monetary unit: Belgian francs

Currency unit per U.S. dollar: 50.

LUXEMBOURG

BASIC STATISTICS

THE LAND

Area (sq.km)	2,586
Agricultural area, 1960 (sq. km)	1,413
Woodland, 1954 (sq. km)	862
Major city:	
— Luxembourg (1961) (inhab.)	73,221

THE PEOPLE

Population (1961)	320,000
Number of inhabitants per sq. km (1961)	124
Population net natural increase (1953-61)	
— yearly average	1,467
— per 1,000 inhabitants	4.6
Net immigration (average 1953-60)	2,079
Total labour force (1960)	147,000
Wage and salary workers in agriculture (1961)	1,700
Wage and salary workers in manufacturing industry (1961)	45,819

PRODUCTION

Gross national product, 1961 (millions of francs)	25,340
Gross national product per head, 1961 (U.S. $)	1,584
Gross fixed investment (average 1954-60)	
— percentage of G.N.P.	22.4
— per head (U.S. $)	296
Gross national product at factor cost by origin 1961:	
— Agriculture	7.5 %
— Mining and quarrying industries	2.5 %
— Manufacturing industries	44.6 %
— Construction	8.5 %
— Other	37 %

THE GOVERNMENT

Current government expenditure on goods and services, 1960 (percentage of G.N.P.)	26
Currency government revenues, 1960 (percentage of G.N.P.)	32
Central Government debt. December 31st 1963 (percentage of Central Government revenue	167
Composition of the Chamber:	
— Christian-Social Party	40 %
— Workers-Socialist Party	37 %
— Democratic Party	10 %
— Communist Party	10 %
— Others	3 %
Last election: 1959.	
Next elections: 1964	

LIVING STANDARDS

Gross average hourly earnings 1960 (francs)	42.21
Number of private cars per 1,000 inhabitants 1960	118
Number of telephone per 1,000 inhabitants, 1961	180
Number of T.V. sets per 1,000 inhabitants, 1961	28

THE CURRENCY

Monetary: unit: Luxembourg francs

Currency unit per U.S. dollar: 50

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BELGIUM-LUXEMBOURG ECONOMIC UNION

INTRODUCTION

1. In 1963 the Belgian economy continued to expand at the same rate as in 1962. The growth in the Gross National Product was about 4 per cent in volume, a notable achievement in view of the fact that results in the early part of the year were affected by the extremely bad weather. This progress was due to a sharp rise in internal demand, with consumption by households continuing to grow, and with investment increasing at a faster rate. External demand also grew vigorously. However, in view of the strong growth of imports and a deterioration of the services account, the balance of payments turned adverse. Other difficulties also emerged, linked with an incipient shortage of labour, and with a rise in prices and wages which gathered momentum in the second half of 1963 and seems still to be doing so at present. Faced with these difficulties the Government took a number of steps to improve supply while moderating demand.

2. In 1964 the expansion of the Belgian economy should continue at an even more rapid rate than in 1963. The pattern of national expenditure may however change to some extent, and consumption by households, stimulated by the marked rise in incomes, may grow faster than in 1963; whereas external demand, held back by the stabilization policies of various E.E.C. countries, may ease somewhat. Inflationary tensions may also be expected to persist, in view of the pressure of internal and external demand, but without growing much worse. There will probably therefore be no tightening of the stabilization measures already taken.

3. Despite the sharp increase in ordinary public revenue, the Treasury had to borrow at short-term to finance its expenditures. There can be no doubt that in 1964 the Government will again have to call on the capital market (a loan already having been issued in February 1964); this repeated borrowing may have some effect on the conditions for achieving overall financial equilibrium, and this report will therefore give a special place to the problem of Belgium's public finances.

4. After a slight contraction in 1962 compared with 1961 the Luxembourg economy again made progress in 1963. While demand for steel grew in volume, the fall in prices offset the effect of this, and the value of exports remained unchanged. On the other hand, internal demand—especially consumer demand which was stimulated by higher incomes—grew by some 2 per cent in volume. Progress in 1964 is expected to be a little faster than in 1963, chiefly because of the growth in private consumption and in exports, while investment will probably fall back to some extent.

I. THE SITUATION IN 1963

Supply

5. Industrial production grew in 1963 by some 6 per cent in volume. This is largely due to the growth in the demand for consumer goods, which stimulated industrial activity. From the second half of the year in particular there was a recovery in the output of semi-manufactures and capital goods. The swiftest advances were in the manufacturing industries and in the textile industry in particular. The steel industry also made some headway (plus 4 per cent in volume) despite the fall in prices and the state of international demand. On the other hand, output in the coal industry and in the cement and glassware industries stayed at the same level as in 1962.

6. Agricultural production rose by some 2 per cent in volume, despite the exceptionally bad weather. Lastly, production of services grew in the same proportion as in 1962 (3.5 per cent).

Table 1. TREND OF PRODUCTION BY MAJOR SECTORS

1953 = 100.

	1961	1962	1963[1]
General index	135.2	142.9	152.0
Fuels and energy	88	89	93
Building materials	144	156	159
Iron and steel and non-ferrous metals	148	156	162
Metal products	150	159	179
Food industries	127	135	—
Textiles industry	131	134	—

1. Provisional figures.
Source: I.R.E.S.P.

7. Most industries seem to have been hampered by shortages of labour and particulary of skilled workers. Employment rose by 1.5 per cent compared with 1962 chiefly because of the

intake of foreign workers (33,000 permits issued in 1963, compared with 22,000 in 1962 and 12,000 in 1961); movements of labour out of agriculture and the energy sector continued to the benefit of other sectors. The industries which suffered most from a shortage of labour were construction, textiles, and to a lesser extent coal. In the coal industry, which some years ago was seriously threatened with unemployment, there has been a striking reversal of the situation. This is due to the number of foreign workers (60 per cent of the total) who are now more difficult to recruit in spite of fresh facilities granted by the authorities. According to a business survey made by the National Bank of Belgium at the end of 1963 it seems that a large proportion (28 per cent) of firms have had idle capacity

TABLE 2. INDICES OF EMPLOYMENT

1958 = 100.

NATURE OF INDUSTRIES	OCTOBER	OCTOBER	% VARIATIONS
GENERAL INDEX	104.7	108.2	+ 3.3
Mining and quarrying	62.6	60.9	— 2.7
including:			
Coal mining	58.9	56.9	— 3.4
Manufacturing industries	107.9	110.6	+ 2.5
including:			
Food industries excluding beverages	114.3	112.9	— 1.2
Textiles industry	99.4	99.7	+ 0.3
Clothing	106.4	112.7	+ 5.9
Wood-working and cork industries, including the furniture and furnishing industry	102.1	108.2	+ 6.0
Paper making and manufacture of paper articles	107.9	114.3	+ 5.9
Leather and articles of leather, excluding footwear	98.6	100.9	+ 2.3
Rubber	97.2	98.4	+ 1.2
Chemicals	107.3	110.6	+ 3.1
By-products of petroleum and coal	96.9	96.0	— 0.9
Non-metallic mineral products, excluding petroleum and coal by-products	116.3	113.5	— 2.4
Heavy metallurgical industry	106.7	108.1	+ 1.3
Metallurgical products, excluding machinery and transport equipment	109.9	122.5	+ 11.5
Construction of machinery, excluding electrical machinery	132.8	134.2	+ 1.1
Construction of electrical machinery, apparatus and supplies	116.2	118.3	+ 1.8
Transport equipment	102.3	104.1	+ 1.8
Miscellaneous manufacturing industry	95.9	107.6	+ 12.2
Construction	111.6	119.2	+ 6.8
Electricity, gas, water and sanitary services	101.2	103.7	+ 2.5

Source: Belgium submission.

because of a lack of skilled labour. Unemployment, which had reached a monthly average of 70,000 in 1962, fell to less than 50,000 in 1961[1]. Late in 1963 and early in 1964 the Government took various steps to try to ease this tightness of the labour market (cf. below: economic policy measures).

Demand

8. Private consumption strongly stimulated internal demand. It grew by 5 per cent (in volume) in 1963 (compared with 4.5 per cent in 1962). Most of the growth was in the demand for durable goods, which gathered momentum at the end of the year. Public consumption grew more rapidly than in 1962 (7 per cent compared with 5.5 per cent).

9. In general, investment increased. The volume of private investment (including housing construction) only rose by some 0.5 per cent. This increase in investment seems to have been devoted to the modernisation of existing plant (owing to the shortage of labour) rather than to the extension of capacity. A further feature is that foreign investments in Belgium conti-

Table 3. USES AND RESOURCES OF GOODS AND SERVICES

	1962	1963		1964	
	VALUE IN BILLIONS AT CURRENT B. FR.	VALUE IN BILLIONS AT CURRENT B. FR.	VARIATIONS IN VOLUME AS PERCENT	VALUE IN BILLIONS AT CURRENT B. FR.	VARIATIONS IN VOLUME AS PERCENT
A. *Resources:*					
Gross national product at market prices	646.2	694.8	+ 4	760.9	+ 5
Imports	230.3	259.6	+ 9	287.5	+ 9
Grand Total	876.5	954.4		1,048.4	
B. *Uses:*					
Private consumption	435.4	474.0	+ 5	514.3	+ 5
Public consumption	78.0	87.0	+ 7	93.7	+ 2.5
Gross investment	130.3	137.7	+ 0.5	155.4	+ 7
— by enterprises	112.7	117.3	+ 0.5	132.7	+ 7.5
— by the authorities	16.0	18.8	+13	20.7	+ 5
— changes in stocks	+ 2.8	+ 0.8		+ 2.0	
— statistical ajustment	— 0.8	+ 0.8			
Exports	232.8	255.7	+ 8	285.0	+ 9.5
Grand Total	876.5	954.4		1,048.4	

Source: Ministry of Economic Affairs and Energy.

1. Including about 11,000 persons normally fit for work.

nued at a high level (some B. Fr. 6 billion in 1962 and in 1963, representing about 8.5 per cent of total investment)[1].

10. The growth in public investment was braked early in 1963 by the weather, and throughout the year by some shortages of labour in the building and public works sector. Nonetheless, it grew by 13 per cent (in volume) compared with 11.5 per cent in 1962.

External trade of the B.L.E.U.

11. There was a sharp upturn in exports by the B.L.E.U. in 1962, linked to the high level of economic activity in the E.E.C. countries and the advantageously low costs of Belgian industry. The authorities expected a definite slowing down in 1963, which developments in the first half of the year seemed to confirm. But the strongly sustained growth of exports in the second half upset this forecast, the total increase for the year as a whole being bigger than in 1962 (11.9 per cent in value compared with 10.2 per cent). Imports grew at much the same rate as exports (plus 12.2 per cent in value) and much faster than in 1962 (plus 7 per cent) and this led to a deterioration of the trade balance, whose deficit grew from B. Fr. 11.6 billion in 1962 to 13.6 billion in 1963.

12. Most of the B.L.E.U.'s exports went to the E.E.C. countries and, with an increase of 20 per cent over 1962, made up 61 per cent of the total. The most notable increases were to France and Italy, while exports to Germany dropped fairly sharply, compared with the rate of increase in 1962. After a fall in exports to E.F.T.A. countries in 1962 they jumped by 9 per cent in 1963, chiefly because of a very steep rise in exports to the United Kingdom. Exports to East European countries and developing countries were in general somewhat less, while exports to the United States remained unchanged after the sharp rise in 1962.

13. Most of the increase in exports was accounted for by agricultural products and manufacture (which represent nearly 80 per cent of total B.L.E.U. exports), the biggest advances being for machinery and transport equipment.

14. In 1963, the B.L.E.U. greatly increased its imports from E.E.C. countries, which, with a rise of 15.5 per cent over 1962, now account for 52.5 per cent of the Union's total imports. Most of the increase in imports from the E.E.C. came from Italy. Imports from the E.F.T.A. countries and the United King-

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1. About 80 per cent of foreign investment in 1962-1963 came from the United States.

TABLE 4. GEOGRAPHICAL DISTRIBUTION OF B.L.E.U. EXPORTS

REGIONS AND AREAS	1962				1963			
	BILLIONS OF B. FR.	1962/61 VARIATION	PER CENT REGIONAL	PER CENT WORLD	BILLIONS OF B. FR.	1963/62 VARIATION	PER CENT REGIONAL	PER CENT WORLD
E.E.C.	122.9	+ 17.7	74.4	56.8	147.1	+ 19.7	76.7	60.8
E.F.T.A.	31.0	— 2.1	18.8	14.3	33.8	+ 8.9	17.6	14.0
Eastern countries	4.3	— 7.0	2.6	2.0	3.7	— 15.2	1.9	1.5
Other European countries	6.9	+ 12.4	4.2	3.2	7.3	+ 5.6	3.8	3.0
EUROPE	165.1	+ 12.4	100.0	76.3	191.8	+ 16.2	100.0	79.3
AFRICA	8.6	+ 12.2	100.0	4.0	7.7	— 10.8	100.0	3.2
Congo (Leopoldville)	2.3	+ 10.6	26.2	1.0	2.2	— 1.5	29.0	0.9
United States	20.7	+ 14.6	69.5	9.6	20.6	— 0.7	72.6	8.5
Canada	2.2	— 1.6	7.2	1.0	2.2	+ 0.8	7.7	0.9
Latin America	7.0	— 9.6	20.3	3.2	5.5	— 19.9	19.7	2.3
AMERICA	29.8	+ 6.7	100.0	13.8	28.3	— 5.1	100.0	11.7
ASIA	10.1	— 11.0	100.0	4.7	11.4	+ 12.3	100.0	4.7
OCEANIA	1.2	— 6.6	100.0	0.5	1.2	+ 2.4	100.0	0.5
Total	216.2	+ 10.2	—	100.0	242.0	+ 11.9	—	100.0

Source: Belgian submission.

TABLE 5. B.L.E.U. EXPORTS BY PRODUCTS

PRODUCTS (S.I.T.C. CLASSIFICATION)	1962		1963		PER CENT VARIATION 1963/62
	BILLIONS OF B. FR.	PER CENT	BILLIONS OF B. FR.	PER CENT	
0. Food	11.1	5.1	14.4	5.9	+ 29.9
1. Beverages and tobacco	1.1	0.5	1.4	0.6	+ 27.5
2. Crude materials, inedible, except fuel	16.4	7.6	18.0	7.4	+ 9.9
3. Mineral fuels, lubricants and related materials	8.2	3.8	10.9	4.5	+ 32.0
4. Animal and vegetable oils and fats	0.7	0.3	0.6	0.3	— 10.7
5. Chemicals	12.5	5.8	14.4	5.9	+ 14.6
6. Manufactured goods	112.0	51.8	118.5	49.0	+ 5.9
7. Machinery and transport equipment	35.3	16.3	41.9	17.3	+ 18.6
8. Miscellaneous manufactured articles	13.8	6.4	16.2	6.7	+ 17.7
9. Miscellaneous	5.1	2.4	5.7	2.4	+ 11.3
Total	216.2	100.0	242.0	100.0	+ 11.9

Source: Belgian submission.

dom rose at the same rate as in 1962 while those from the United States slowed down markedly. Imports from the Republic of the Congo continued to decline.

15. Imports of solid mineral fuels went up sharply, chiefly because of the harsh winter of 1962-1963. Commercial and

TABLE 6. GEOGRAPHICAL ORIGIN OF B.L.E.U. IMPORTS

	1962				1963			
	BILLIONS OF B. FR.	VARIATION 1962/61	PER CENT RE-GIONAL	PER CENT WORLD	BILLIONS OF B. FR	VARIATION 1963/62	PER CENT RE-GIONAL	PER CENT WORLD
E.E.C.	116.2	+ 8.8	73.8	51.0	134.2	+ 15.5	74.5	52.5
E.F.T.A	31.7	+ 8.2	20.1	13.9	35.6	+ 12.4	19.8	13.9
Eastern Countries	5.1	+ 16.7	3.2	2.1	5.7	+ 11.7	3.2	2.2
Other European countries	4.5	+ 0.7	2.9	2.0	4.6	+ 2.8	2.5	1.8
Total for Europe	157.4	+ 8.7	100.0	69.0	180.1	+ 14.4	100.0	70.5
UNITED STATES	22.3	+ 20.3	63.2	9.8	23.6	+ 4.6	63.2	9.2
CANADA	2.6	— 3.3	7.4	1.1	2.7	+ 4.6	7.2	1.1
LATIN AMERICA	10.2	+ 17.2	29.4	4.5	11.1	+ 9.0	29.6	4.3
Total for America	35.3	+ 17.3	100.0	15.4	37.4	+ 5.9	100.0	14.6
AFRICA	17.8	— 8.1	100.0	7.8	17.8	—	100.0	7.0
Congo (Leopold.)	9.0	— 20.9	50.5	4.0	8.3	— 7.7	46.4	3.2
ASIA	12.6	+ 2.0	—	5.5	16.0	+ 26.4	—	6.3
OCEANIA	4.4	+ 7.3	—	2.0	4.2	— 6.4	—	1.6
Total	227.8	+ 8.0	—	—	255.6	+ 12.4	—	100.0

Source: Belgian submission.

TABLE 7. B.L.E.U. IMPORTS BY PRODUCTS

PRODUCTS (S.I.T.C. CLASSIFICATION)	1962		1963		
	BILLIONS OF B. FR.	PER CENT	BILLIONS OF B. FR.	PER CENT	1963/62 VARIATION
0. Food	24.7	10.8	26.6	10.4	+ 7.8
1. Beverages and tobacco	3.5	1.5	4.1	1.6	+ 17.7
2. Crude materials, inedible, except fuels	40.5	17.8	40.7	16.0	+ 0.5
3. Mineral fuels, lubricants, related materials	22.5	9.9	27.9	10.9	+ 24.1
4. Animal and vegetable oils and fats	1.2	0.5	1.4	0.5	+ 17.7
5. Chemicals	13.9	6.1	15.9	6.2	+ 14.6
6. Manufactered goods	53.7	23.6	60.6	23.8	+ 12.8
7. Machinery and transport equipment	53.6	23.6	61.6	24.2	+ 14.9
8. Miscellaneous manufactured articles	13.4	5.9	15.7	6.0	+ 16.8
9. Miscellaneous	0.8	0.3	1.1	0.4	+ 45.8
Total	227.8	100.0	255.6	100.0	+ 12.2

Source: Belgian submission.

private motor vehicles and textiles bulked large among imports of manufactures, which represent 60 per cent of the total.

16. There was a slight deterioration in the balance of payments in 1963 compared with 1962. For the balance of transactions in goods and services this was mainly the effect of the bigger external trade deficit (B. Fr. 8.3 billion compared with 6.4 billion) the smaller surplus for other merchandise transactions, and the emergence of a deficit of 0.6 billion for services—compared with a surplus of 3.6 billion in 1962—which was due chiefly to a larger net outflow for travel abroad, a decline of income from investment, and increased Government expenditure.

17. Net official transfer expenditures rose from 1.4 billion in 1962 to 2.7 billion in 1963. Most of this increase is due to the payment in January 1963 of the 1962 instalment of Belgium's contribution to the E.E.C. Development Fund for overseas countries and territories. Official capital movements, which had shown a deficit of 3.2 billion in 1962, showed a surplus of 2.7 billion in 1963, mainly because of the State's direct foreign indebtedness. Private capital movements finally lead to a fall in the surplus from 1 billion to 0.6 billion, chiefly because of bigger net purchases of foreign securities. In total, the final effect of transactions with foreign countries was a fall in external assets of B. Fr. 0.2 billion, compared with a rise of 4 billion in 1962. Lastly, it should be noted that the geographical balance of payments of the B.L.E.U. in 1963 shows an increase in

TABLE 8. BALANCE OF PAYMENTS IN 1962 AND 1963

CHANGES IN BILLIONS OF B. FRS.

Quarterly figures.

	1962					1963				
	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	YEAR	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	YEAR
1. Transactions in goods and services and private transfers	+ 3.7	+ 0.4	+ 1.7	+ 0.4	+ 6.2	+ 1.2	+ 0.4	— 1.3	— 1.7	— 1.4
2. Government transfers	— 0.3	— 0.4	— 0.2	— 0.5	— 1.4	— 1.0	— 0.3	— 0.3	— 1.1	— 2.7
3. Capital movements of public authorities and of semi-public credit and development authorities	+ 2.9	— 4.2	— 1.8	— 0.1	— 3.2	+ 2.1	+ 1.3	— 0.9	+ 0.2	+ 2.7
4. Other capital movements:										
4.1. Registered short term	— 1.2	+ 0.9	— 1.7	+ 1.8	— 0.2	— 1.0	+ 0.2	+ 0.4	+ 0.4	—
4.2. Other	+ 0.5	+ 0.5	+ 1.8	— 1.6	+ 1.2	— 0.3	— 0.1	+ 0.9	+ 0.1	+ 0.6
5. Errors and omissions	+ 1.0	+ 0.3	— 0.6	+ 0.7	+ 1.4	+ 1.4	—	— 1.0	+ 0.2	+ 0.6
6. Total corresponding to the movement of the net external assets of the monetary institutions	+ 6.6	— 2.5	— 0.8	+ 0.7	+ 4.0	+ 2.4	+ 1.5	— 2.2	— 1.9	— 0.2
National Bank	— 2.2	— 0.9	— 1.0	+ 2.4	— 1.7	+ 4.4	+ 3.2	+ 1.0	+ 2.6	+ 11.2
Others	+ 8.8	— 1.6	+ 0.2	— 1.7	+ 5.7	— 2.0	— 1.7	— 3.2	— 4.5	+ 11.4

Source: National Bank and Belgium.

the surplus with the C.E.E. and the Sterling Zone which was more than offset by the deterioration of accounts with other O.E.C.D. countries, Latin America, the Congo, Rwanda and Burundi.

Prices and wages

18. After a long period of stability, prices showed a definite tendency to rise in 1963. Wholesale prices rose by 2.5 per cent over 1962. An important contribution to this trend was the rise in agricultural prices, which was due to several factors, including price increases decided by the Government in order to improve agricultural incomes, the announcement of the E.E.C.'s common agricultural policy, and the rise in standards of living in the neighbouring countries, which led to a sharp increase in external demand, and lastly, the exceptional factors due to the long winter and to cattle diseases. The higher prices of the coal industry are chiefly the result of higher wage costs, the higher prices of investment goods are attributable to a strongly sustained internal and external demand, and the higher prices in the construction industry are due both to steeper costs and to the pressure of demand.

19. The cost of living index (retail prices) went up by about 2.6 per cent compared with 1962. This upward movement gathered momentum particularly in the third and fourth quarters. For the most part, it is due to the trend of meat prices (resulting from a reduction in herds because of the harsh winter, and from the heavy pressure of internal and external demand), but nearly all products seem to have contributed to the trend.

20. Wages, which after several years of relative stability, had already gone up appreciably in 1962, continued to rise in 1963. Wage rates[1] rose by 5.5 per cent during the year because of the operation of the sliding scale clauses in most of the collective agreements, the revision of some of these agreements, and the efforts made in certain industries to bring about equal pay for men and women. Because of the tightness of the labour market and the rise in internal demand, employers were more willing to grant wage claims. Later in 1963 and early in 1964, there was some spreading of the strike movement. In the aggregate, hourly wage rates in industry rose by 6.9 per cent compared with the previous year (as against 5.5 per cent in 1962) while the rise in hourly earnings amounted to 8.4 per cent (as against 7.7 per cent in 1962). The fastest rises were

1. These rates refer to wages fixed in each industry by way of collective agreements. There is a minimum rate, which actual earnings tend to diverge from in times of shortage of labour (as in 1963). The difference is however rarely considerable and these agreed wage rates are fully representative of the wages actually paid.

in the textile industry, building, woodworking, and chemicals, while progress remained very slow in the extractive industries. The impact of these wage increases on costs was about 4 per cent, allowing for increases in productivity[1].

TABLE 9. TREND IN 1963 OF INDICES OF NEGOTIATED WAGE RATES BY SECTORS

1958 = 100.

SECTOR	JANUARY 1962	1963				
		JANUARY	MARCH	JUNE	SEPT.	DEC.
0. Agriculture	111.7	117.0	117.0	124.3	124.3	127.6
1. Extractive industries	102.8	105.8	105.8	107.9	108.0	108.2
2.-3. Manufacturing industries	112.6	120.4	120.7	124.1	125.7	127.6
4. Construction	110.8	120.4	120.4	123.8	125.4	125.4
5. Electricity, gas, water	113.0	119.7	119.7	119.7	122.0	122.0
6. Commerce, bank, insurance	113.3	118.2	119.0	121.9	126.0	126.9
7. Transport, communications	106.7	113.5	113.5	115.4	116.0	117.5
8. Services	114.3	117.7	117.7	123.5	125.6	128.8
Total	111.2	118.3	118.5	121.9	123.3	124.8

Source: Belgian submission.

21. Lastly, Belgian workers improved substantially their social benefits by an agreement concluded on December 12th between the employers and the unions (a third week of paid holidays, an increase in sickness and disability benefits) and by the agreement reached between the Government and wage-earners at Val Duchesse relating in particular to increases in family allowances.

MONEY AND CAPITAL MARKETS

22. The main feature of the money and capital markets in 1963 was a very strong increase in demand, which in spite of an increased supply created some strains that were reflected in a marked rise in interest rates.

23. This growth in demand is due to several factors, the economic trend, which increased the demand of enterprises for funds, the larger requirements of the Treasury, which led to the Government borrowing more from the money market to finance its cash requirements, and the deterioration of the external accounts—the balance on foreign current transactions showing a net inflow of B. Fr. 1.5 billion compared with 6.2 in 1962. One factor which is partly responsible for this is the outflow of Belgian private capital, stimulated both by the attractive

1. Estimated at 4.5 per cent in 1963.

rates of interest abroad (especially in the Federal Republic of Germany) and by apprehension, which will no doubt pass, about the effects of the new tax system.

24. Supply responded partially to this expansion of demand, and grew by 25.1 billion in 1963 (compared with 17.1 in 1962). Credit to enterprises and private individuals financed by the monetary institutions rose by B. Fr. 17.7 billion (compared with 11.6 in 1962 and 8.2 in 1961). However, a change in the public's attitude, favouring highly liquid investments not under the control of the tax authorities (cash holdings and savings deposits), led to a fall in funds invested in Government securities or deposited with certain financial intermediaries. This is doubtless a temporary reaction, connected with the public's need to get used to the new tax system.

25. As a result of this there has been a rise in interest rates generally, and short-term rates went up in 1963 and early in 1964. The rapid expansion of credit granted by banks to enterprises and the larger sums borrowed by the State on the money market to finance its cash requirements made it necessary to raise the discount rate, with effect from 18th July, 1963, from 3.5 to 4 per cent, a move which was partly intended to bring official interest rates into line with the state of the money market and with rates prevailing abroad, and to make it easier to meet the State's cash requirements. A second increase in the discount rate (from 4 to 4.25 per cent) on 31st October was more directly inspired by the desire to curb demand for short-term credit. The portfolio of short-term Government paper held by the financial intermediaries diminished in 1963, and the result was a rise in the rates of twelve-month Treasury certificates issued by tender (3.45 per cent in December 1962 and 4.75 per cent in December 1963). Lastly, the gross rates of State medium and long-term loans also rose in 1963 and early in 1964, chiefly as a result of the tax reform.

Public Finances

26. The main features of the public finances in 1963 were a small deficit on the ordinary budget, a very swift rise in extraordinary expenditure, and a large increase in the public debt.

27. Disbursements from the ordinary budget amounted to B. Fr. 143.2 billion while revenue totalled 142.0 billion. The deficit was therefore very small (1.2 billion). It is attributable to the effects of the 1962-1963 winter which resulted both in supplementary expenditure and some loss of revenue. In addition, some expenditure was made in advance in December 1963, which would in the normal way not have been made until early in 1964.

TABLE 10. VARIATIONS IN THE MONEY SUPPLY AND IN CREDIT TO THE ECONOMY SINCE 1958

Millions of Belgian Francs.

PERIOD	MONEY SUPPLY[1]			QUASI-LIQUID RESOURCES[2]	TOTAL MONEY SUPPLY AND QUASI-LIQUID RESOURCES	ORIGIN OF CHANGES				MISCELLANEOUS
	NOTES AND COIN	BANK MONEY	TOTAL			FOREIGN TRANSACTIONS[3]	FINANCING OF THE PUBLIC AUTHORITIES[4]	NEW MONEY RESULTING FROM PUBLIC DEBT OPERATION	CREDIT TO THE PRIVATE SECTOR	
1958	+ 4.3	+ 8.1	+ 12.9	+ 2.4	+ 15.3	+ 14.9	+ 5.6	+ 4.1	— 8.4	— 0.9
1959	+ 1.0	+ 5.8	+ 6.8	+ 5.8	+ 12.6	+ 0.7	+ 3.7	+ 3.2	+ 4.4	+ 0.6
1960	+ 5.5[6]	— 1.1	+ 4.4	+ 6.1	+ 10.5	+ 1.6	+ 6.1	+ 2.1	+ 4.7	— 4.0
1961	+ 5.4[6]	+ 11.3	+ 16.7	+ 9.1	+ 25.8	+ 9.0	+ 3.3	+ 1.9	+ 8.2	+ 3.4
1962	+ 9.5	+ 7.6	+ 17.1	+ 4.3	+ 21.4	+ 6.2	+ 1.2	+ 1.2	+ 11.6	+ 1.2
1963[5]	+ 12.0	+ 13.1	+ 25.1	+ 8.3	+ 33.4	+ 1.5	+ 20.3	— 1.0	+ 17.7	— 5.1
1962 : 1st quarter	— 1.2	+ 0.1	— 1.1	+ 4.2	+ 3.1	+ 4.0	+ 0.9	— 0.4	+ 0.4	— 1.8
2nd quarter	+ 4.3	+ 4.4	+ 8.7	—	+ 8.7	+ 2.0	— 0.2	+ 1.1	+ 1.8	+ 4.0
3rd quarter	+ 1.4	+ 0.2	+ 1.6	+ 2.6	+ 4.2	+ 0.4	+ 3.1	+ 0.3	+ 3.3	— 2.9
4th quarter	+ 5.0	+ 2.9	+ 7.9	— 2.5	+ 5.4	— 0.2	— 2.6	+ 0.2	+ 6.1	+ 1.9
1963 : 1st quarter	+ 2.1	+ 6.0	+ 8.1	+ 2.2	+ 10.3	+ 2.9	+ 9.4	—	+ 1.6	— 3.6
2nd quarter	+ 5.8	+ 4.8	+ 10.6	+ 1.4	+ 12.0	+ 0.4	+ 6.0	+ 0.5	+ 4.2	+ 0.9
3rd quarter	+ 0.5	— 5.0[7]	— 4.5[7]	+ 1.9	— 2.7[7]	— 0.9[5,7]	— 1.9[5]	— 0.9[5]	+ 3.2	— 2.1[5]
4th quarter[5]	+ 3.6	+ 7.3	+ 10.9	+ 2.7	+ 13.6	— 0.9	+ 0.6	— 0.8	+ 8.7	— 0.3

1. After deducting notes and coins held by the monetary institutions (the National Banks, commercial banks, the Postal Cheque Office and various credit institutions).
2. Quasi-liquid resources include: term deposits with banks, residents' deposits in foreign currencies at banks and the credit balances of the Treasury at the National Bank of Belgium.
3. Excluding capital transactions and transfers of the public authorities.
4. Including the balance on their capital transactions and transfers abroad.
5. Provisional figures.
6. These totals have been adjusted for the accounting changes made necessary by the independence of the Congo.
7. Starting in June 1963 the adoption of uniform criteria by all the banks with regard to the accounting of deposits of Luxembourg residents has made it possible to eliminate these deposits completely, and not just partially as was previously the case, from the figures for bank money. This change means that the corresponding alterations have been made under "foreign transactions" which now includes all assets and liabilities of Belgian banks in respect of the Grand Duchy of Luxembourg, and under the heading "miscellaneous".

Source: National Bank of Belgium.

TABLE 11. THE 1963 AND 1964 BUDGETS

Billions of B. Fr.

	1963[1]	1964[2]
Ordinary budget:		
Revenue	142.0[1]	153.7[2]
Expenditure	143.2[1]	153.7[3]
Balance	— 1.2	— 0
Extraordinary budget[4]:		
Revenue	0.5	0.5
Expenditure[5]	22.1	22.9
Balance	21.6	22.4
Total deficit	22.8	22.4

1. Probable results.
2. Initial budget.
3. Disbursements and estimated disbursements.
4. Including Congo guarantees.
5. Excluding Road Fund.

28. Extraordinary expenditure including the Road Fund, amounted to B. Fr. 26.3 billion compared with 20.6 billion in 1962. Nearly all of the increase was for investment and for civil investment in particular. The growth in military expenditure is due to the purchase of aircraft. As extraordinary revenue totalled only B. Fr. 0.5 billion, without taking into account the deficit on the ordinary budget, the total of budgetary operations to be financed from borrowing amounted to B. Fr. 27.6 billion.

29. Long-term issues by the Government and the Road Fund amounted to 20.8 billion, so that the budget deficit reached B. Fr. 6.8 billion. Allowing for cash requirements, the total of operations to be covered by the floating debt amounted to B. Fr. 12.1 billion. The home market was unable by itself to meet all these requirements in view of the demand for credit by enterprises. The Government therefore drew on the National Bank (+ 4.2 billion) and borrowed from abroad (+ 5.8 billion). The total of the public debt rose by 23 billion in 1963 compared with 12.2 in 1962 and 18.5 in 1961.

ECONOMIC POLICY MEASURES

30. The policy measures taken in 1963 by the Belgian Government were of two quite distinct kinds. The first consisted of anti-cyclical measures to hold back the rate of demand while improving the supply situation. The second concerned further overall action to influence the structure of the economy so as to guarantee a rapid and balanced growth.

Table 12. TREND OF THE PUBLIC DEBT.

End period situation

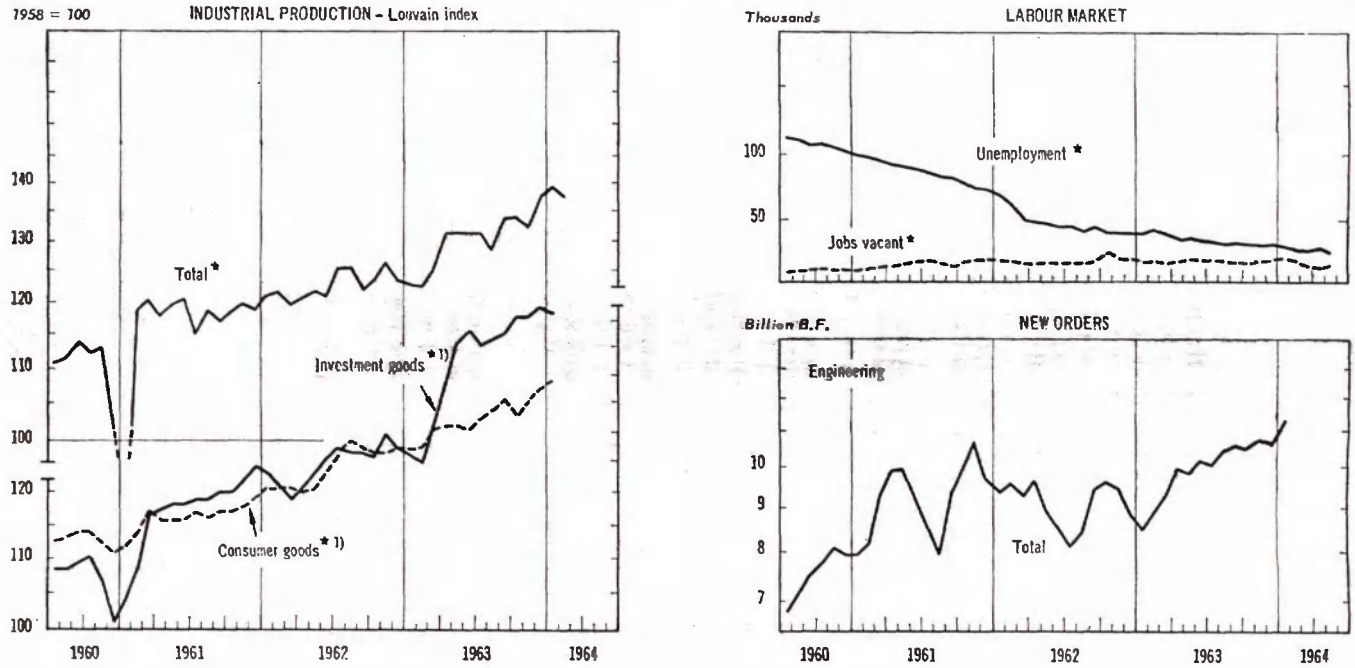
Billions of B. Frs.

	DIRECT DEBT								TOTAL OF DIRECT DEBT	INDIRECT DEBT[1]	TOTAL DEBT
	INTERNAL					EXTERNAL					
	CONSOLIDATED	MEDIUM TERM	SHORT TERM	POSTAL CHEQUE ACCOUNTS OF PRIVATE PERSONS	TOTAL	CONSOLIDATED	MEDIUM AND SHORT TERM	TOTAL			
1960	+ 10.8	— 4.9	— 7.2	+ 3.2	+ 11.9	— 0.3	+ 10.5	+ 10.2	+ 22.1	+ 0.4	+ 22.5
1961	+ 5.8	— 0.7	+ 2.2	+ 0.5	+ 7.8	+ 1.4	+ 1.3	+ 2.7	+ 10.5	+ 4.4	+ 14.9
1962	+ 34.2	+ 3.5	— 20.8	+ 3.3	+ 20.2	+ 0.7	— 10.7	— 10.0	+ 10.2	+ 2.0	+ 12.2
1963	+ 10.0	— 7.2	+ 5.1	+ 3.7	+ 11.6	— 1.1	+ 10.5	+ 9.4	+ 21.0	+ 1.8	+ 22.8

1. Decentralised public authorities (Road Fund, Belgian railways, etc.).

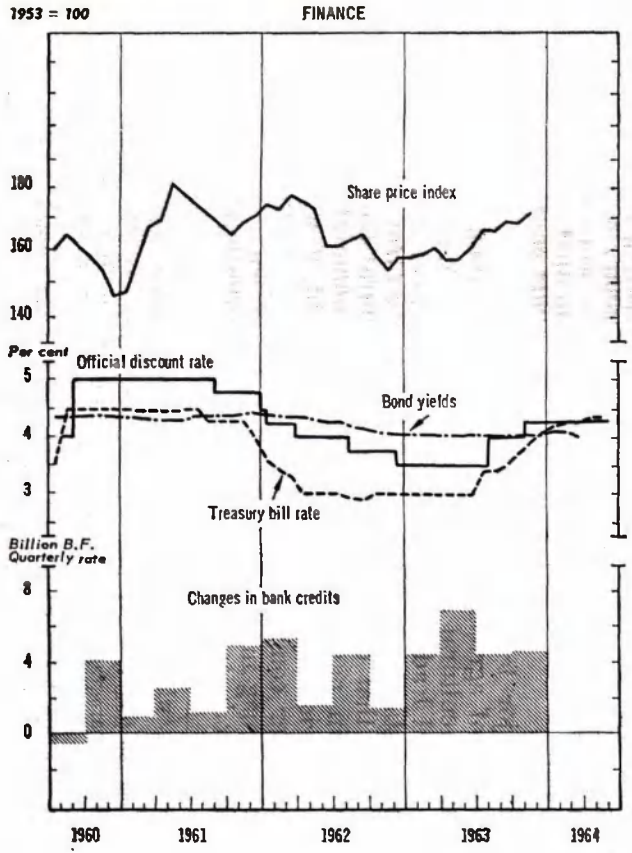
Source: Monthly bulletin of the National Bank.

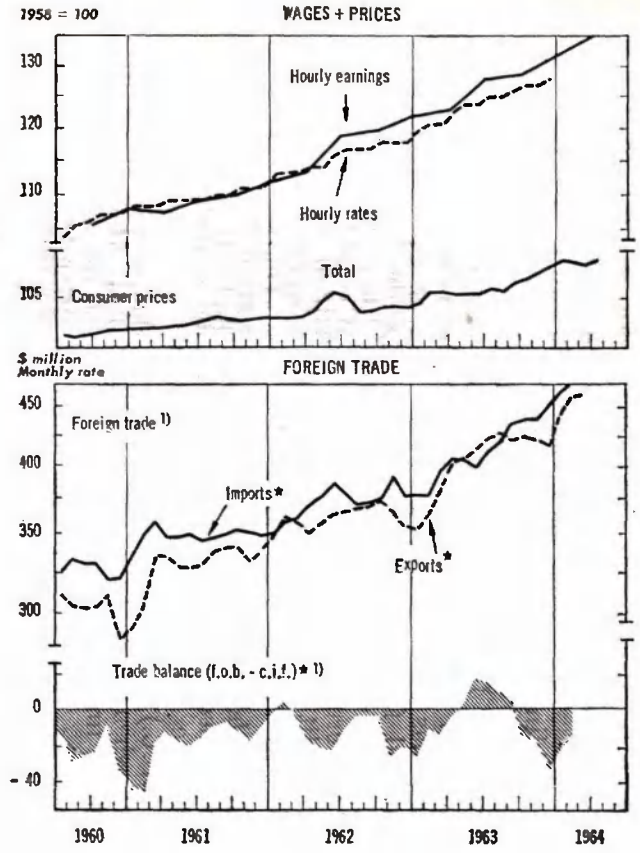
Diagram 1. MAIN ECONOMIC INDICATORS



* Adjusted for seasonal variations.
1. 3 Months moving average.

Source: O.E.C.D.


1953 = 100
FINANCE
180
160
140
Share price index
Per cent
5
4
3
Official discount rate
Bond yields
Treasury bill rate
Billion B.F.
Quarterly rate
8
4
0
Changes in bank credits
1960
1961
1962
1963
1964


1958 = 100
WAGES + PRICES
130
120
110
105
Hourly earnings
Hourly rates
Total
Consumer prices
$ million
Monthly rate
FOREIGN TRADE
450
400
350
300
Foreign trade 1)
Imports*
Exports*
Trade balance (f.o.b. - c.i.f.)* 1)
0
- 40
1960
1961
1962
1963
1964

31. The principal measures to limit the growth of demand concern credit, and the monetary authorities have pursued a restrictive policy by raising the discount rate twice. The criteria for deciding the credit which may be granted under the "lois de relance" of 17th and 18th July, 1959[1] have been made more stringent. In addition, the granting of subsidies under these laws will be suspended for the first half of 1964. The Government has postponed some of its public works contracts. Credit granted for construction was limited. The proportion of the value of the building for which credit is granted has been reduced, and credit for housing abolished completely. Lastly, consumer credit was curtailed by raising the initial deposit and shortening the period of repayments.

32. The authorities also took steps to fix the prices of some widely consumed products (flour, butter, meat) which were tending to rise too much. They also decided (in agreement with the E.E.C.) to prohibit exports of pork during the months of the year when internal demand was increasing strongly, and to abolish the import tax on beef.

33. Measures to improve the supply situation related mainly to the labour market; work permits were issued much more freely than in the past to foreign workers. The authorities encouraged firms to take on more female staff by increasing part-time working, a committee being formed by the Ministry of Labour to work out ways of achieving this; and efforts were made to bring men's and women's wages more closely into line[2]. Lastly, a number of schemes were started to help provide employment for pensioners.

34. The major feature of growth policy in 1963 was the modernisation of agriculture. The Law of 29th March, 1963, enabled an agricultural investment plan to be drawn up which in future should lead to a marked rise in agricultural incomes and bring the standard of living of the agricultural population into line with that of other sections of the community. The plan provides in particular for an improvement of the infrastructure of agriculture and horticulture (electrification, maintenance of water courses, amalgamation of holdings, etc.) for better farm management and for systematic encouragement of high quality products.

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1. These laws, whose purpose is to promote an expansionary policy, relate mainly to subsidies for private investment, and to regional development. For particulars see the 1960 O.E.C.D. Report on the economic situation of Belgium and Luxembourg, paragraph 14, and the 1963 O.E.C.D. Survey of the B.L.E.U., paragraph 35.

2. Women's wages rose by 12 per cent in 1963 and men's wages by 7 per cent. This trend is in keeping with article 119 of the Rome Treaty which stipulates the objective of equal pay for men and women.

35. The Government has approached the trade union organisations with a view to formulating an incomes policy to ensure the balanced growth of the Belgian economy. The results however do not appear to be encouraging. In particular, the unions continue to be very hostile towards a centralised system of wage fixing.

GRAND DUCHY OF LUXEMBOURG

36. Overall results were more favourable in 1963 than during the preceding year. Production grew (by 1 per cent in volume) compared with 1962. The situation of the steel industry and agriculture remained much the same as in 1962, but other industries, and especially services, made further progress. Private consumer demand grew by about 2 per cent in volume, due to a sharp rise in households' incomes, and despite a drop in industrial employment (— 2 per cent), which was mainly due to departures of foreign workers. Consumer prices rose by about 4 per cent. Public consumption went up considerably (by 15 per cent in value) because of salary increases granted to civil servants. Investment in the steel industry remained at a high level in 1963, while investment in construction seems to have contracted somewhat because of the hard winter, the shortage of labour, and reduced working hours.

37. The growth in imports slowed down in 1963 (+ 1 per cent) chiefly because of the rise in foreign prices. Exports, which fell back from 1961 to 1962, rose slightly in 1963 (+ 1 per cent in volume) because of the renewed demand for steel products, mainly from countries outside the E.E.C.

II. TRENDS AND PROSPECTS FOR THE B.L.E.U. IN 1964

38. The forecasts for 1964 seem generally very satisfactory. The favourable development of 1963 should continue with output increasing at a faster rate than in 1962, and the strains noted in 1963 should not increase appreciably. This suggests that the targets of the 1962-1965 development programme will be exceeded, in spite of some divergences, chiefly in the trend of financial flows.

39. The growth (in volume) of the Gross National Product should amount to 5.7 per cent (compared with 4 per cent in 1963). The most notable progress should be made in industry, and especially in construction, where there should be a sharp increase compared with the previous year. Agriculture and services should move ahead at the same rate as in 1963. Pri-

vate consumption should increase at much the same rate as in 1963 (5 per cent) while public consumption and investment should definitely slow down because of savings decided by the Government in the 1964 Budget. Enterprise investment should rise faster than in 1963 (7.5 per cent in volume compared with 0.5 per cent). This may seem a considerable increase, particularly in view of the higher wage bill in 1963, which may make investment finance harder to procure in an economy where self-financing accounts for 75 per cent of all private means of financing[1]. However, the results of the first quarter of 1964, particularly in regard to orders for capital goods, have led the Belgian experts to opt for this high growth rate, and to revise their initial 5 per cent rate upwards. Lastly, external trade should continue to increase as rapidly as in 1963 (+ 10.5 per cent for imports and + 11.5 per cent for exports).

40. There should be a further slowing down in the growth of the active population in 1964. The increase will probably amount to some 25,000 persons and will chiefly be due to employment of women and of foreign workers. Shortages of labour are likely to persist in 1964. For a number of months, however, some foreign workers have not had their contracts renewed, but it is very hard to know whether this is due to an easing of the labour market (resulting from considerable gains in productivity, a reduced demand on the part of industry, after its "hoarding" of workers in 1963) or whether it is simply due to the fact that industry has found some of the foreign workers it has employed in the past too unskilled for their jobs. Allowing for the collective agreements already reached and the effect of the sliding scale, the rise in wages can be estimated at around 8 per cent.

41. The rise in prices should also continue. The wholesale price index might rise by 4 per cent and the retail index by only 3.5 per cent, the authorities having decided to intervene by freezing the prices of a wide range of products if the increases are too great[2]. It must be emphasized, however, that an average rise of 3.5 per cent per annum represents almost complete stability of prices over the year. Taking into account the trend in the second half of 1963 the cost-of-living index in January 1964, was already 3 per cent above the average level for the previous year. The trend in the first months of 1964 seems moreover to suggest a definite tendency towards price stabilization, and between January and June the retail price index

1. As estimated by the De Voghel Commission (a government commission to study problems of financing, March 1962).
2. At present about 80 items are subject to the control of the Prices Commission.

hardly moved at all. Lastly, the increase in productivity, already considerable in 1963 (+ 4.5 per cent) should be even greater in 1964 (+ 5 to 5.5 per cent).

42. There was some strengthening in 1964 of the restrictive measures taken in 1963; at the beginning of the year instructions were given to the banks to limit credit to enterprises and private individuals. The banks must also submit to the National Bank a quarterly programme of advances. Over the whole year, credit will not be allowed to exceed the 1963 level by more than 10 per cent (the increase last year was 20 per cent). This decision is the result of a "gentlemen's agreement" between the State and the private banks, and no precise means of implementing it has so far been specified. The banks are also required under this agreement to apply certain criteria when granting credit (favouring credit for investment rather than for consumption and for modernisation of firms rather than their extension, restraining credit in the "overheated" sectors such as buildings, etc.). As the voluntary restraints have not had the hoped for results, other monetary policies were adopted at the beginning of July. The required reserve ratio created by the Banking Commission Regulations of 21 December 1961 was applied; one per cent of the total monetary and quasi-monetary liabilities of deposit banks must now be deposited in Belgian francs with the National Bank. This measure was accompanied by an increase of 0.5 per cent in the official discount rate, applicable on new borrowings, and more severe conditions for obtaining credit from the National Bank. Various other steps have been taken to check the expansion of consumption and of building. Lastly, the draft 1964 Budget provides for a balanced ordinary budget, revenue (B. Fr. 148.7 billion) being equal to expenditure. Extraordinary expenditures are expected to remain at the same level as in 1963. In all, according to still very provisional estimates, the operations to be met from loans will be B. Fr. 23.4 billion compared with 27.6 in 1963.

43. The rise in interest rates has brought State loans back into the public's favour, and the February 1964 loan (B. Frs. 12 billion at 6.25 per cent and 6.5 per cent over 5 and 10 years respectively) was fully subscribed in a few days. The situation of the capital market should improve appreciably in 1964. In some respects, the financial difficulties experienced in the past year were accidental, and were due in particular to misgivings on the part of the public about the consequences of the tax reform, which led to a preference for very liquid investments. The rise in interest rates experienced in 1963, and a change in attitudes to investment, should result in a much better adjustment between the supply and demand for capital in 1964, and rates of interests have moreover been stable since the beginning

of the year. The Government's need of finance will probably be easier to satisfy than it was last year, especially by calling more heavily on the domestic market.

44. The results so far available for the first quarter of 1964 show a generally very favourable trend. Its physical aspects are a big advance in industrial production (+ 13 per cent compared with the corresponding period of last year, and + 6 per cent compared with the last quarter of 1963), in investment (orders for capital goods went up by 24 per cent compared with the corresponding period of last year and by 8 per cent compared with the last quarter of 1963), and in foreign trade; its financial aspects are comparative price stability thanks to easier conditions on the capital market and a reduction in the public debt[1]. The trend of the balance of payments in 1964 will depend to a large extent on external factors which are hard to predict. The programme does not envisage any substantial changes in the balance of current transactions. There seems little doubt that the B.L.E.U. will maintain its competitive position under the present conditions, but the upsurge of imports at the end of 1963 is likely to continue with the sustained expansion of the economy. As far as the capital balance is concerned it seems likely, as has already been mentioned, that the authorities will borrow less abroad. The rise in interest rates on the domestic market also suggests that the outflow of private capital will decline. However, it is difficult to say how far this will affect the total balance. The movement of monetary reserves in the early months of 1964 seems to show a slight decline in the deficit compared with the last quarter of 1963; in any event, changes in the total balance will involve only small amounts.

45. The results so far available for 1962 and 1963 and the forecasts for 1964, show how matters stand with regard to the 1962-1965 expansion programme. Comparison of the targets with what has so far been achieved suggests that the increase in the Gross National Product will be in keeping with the programme. On the other hand, there will probably be a considerable divergence in regard to the uses of production, with private and public consumption increasing much more rapidly than was forecast, while investment by government bodies and even more by enterprises will probably be well below the 1965 forecast. Foreign trade should increase more rapidly than was forecast, but along the lines provided for in the programme. It is in the financial field (prices and wages) that the divergences will probably be greatest.

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1. This will be referred to again in Section III on the trend in Belgian public finances.

TABLE 13. TARGETS OF THE 1962-1965 EXPANSION PROGRAMME AND RESULTS OR FORECASTS FOR 1964

	1962-1965 PROGRAMME TARGETS	AVERAGE RATES OF EXPANSION 1962-1964[1]
Resources:		
G.N.P.	4.0	4.4
Imports	7.7	9.0
Uses:		
Private consumption	3.4	4.5
Public consumption	2.6	4.0
Investment by enterprises	7.6	3.5
Public investment	10.1	9.0
Exports	7.7	9.0
Financial data:		
—Wage rates	4.5	7.0
—Consumer prices	0.9	2.8

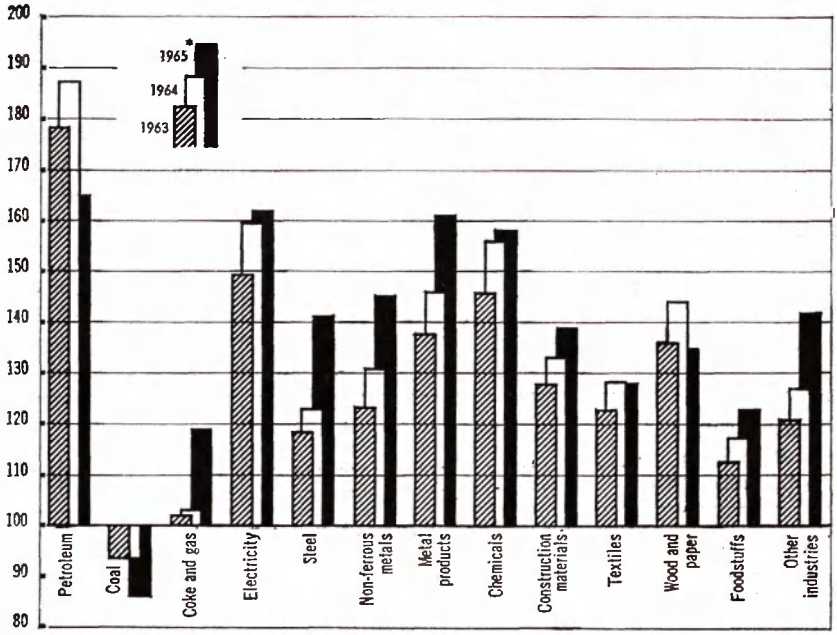
1. For 1962-1963: results. For 1964: forecasts by the Programming Office.
Source: Belgian submission.

46. The shifts in the pattern of national expenditure are closely linked to changes in financial flows; the rapid increase in incomes in 1962 and 1963 caused consumption to rise rapidly, entailing some pressure on prices and some limitation of investment opportunities. These distortions, however, do not seem to constitute a serious danger; the investment targets in the programme had certainly been somewhat overestimated and the present trend justified the belief that the recovery which began last year will continue until 1965. The rapid rise in productivity achieved in 1963 or expected in 1964 should allow a further increase in incomes without any major risk of inflation, and lastly, the fact that rises in wages and prices have been comparable and even higher in neighbouring countries has so far enabled Belgium to maintain its competitive position.

47. The trend by sectors shows that most of the industries producing for final consumption will probably exceed their 1965 targets in 1964 (textiles, clothing and leather, and wood and paper, in particular). In the energy sectors (petroleum and coal), targets are already being substantially surpassed; in the case of coal this is due to the exceptionnally bad weather of the 1963 winter. The main shortfalls are in steel, coke and

Diagram 2. COMPARISON OF SECTORAL INDICES IN 1963 AND 1964 WITH THE OBJECTIVES OF THE PLAN

INDEX 1959 = 100



* Objectives of the plan. *Source:* "Budget économique 1964".

gas (the trend in which is linked to that of steel), and in non-ferrous metals (as a result of the fall in zinc production, which in 1962 fell back to its 1953 level).

48. In the Grand Duchy of Luxembourg, the expansion of economic activity should continue and even accelerate slightly in 1964, a 3 per cent growth in volume being expected for the year as a whole. Foreign demand for steel products should be stimulated by the revival of investment in most of the European countries. Private consumption should continue to advance, together with official current expenditure (the number of civil servants will increase). Gross fixed asset formation, on the other hand, should fall back to some extent, though the decline in investment in the steel industry seems for the time being to have stopped. Lastly, prices should rise less than last year, because of the various stabilization measures taken by the Government. The results for the first five months of the year would indicate a very satisfactory trend; industrial output has gone up by 9 per cent compared with the same period of 1963, chiefly

as a result of a big advance by the steel industry (+ 11 per cent). What is more the index of the cost of living has remained practically the same (+ 0.6 per cent) from January to May.

III. TREND OF PUBLIC FINANCES IN BELGIUM[1]

49. Because of the difficulties the Government encountered throughout the whole of 1963 in financing its expenditure, a special place has been given in this Report to the problem of the equilibrium of Belgium's public finances. The study covers the period 1957-1964. 1957 was an extremely favourable year in which the budget was particularly well-balanced. Subsequently, the situation of the public finances deterioriated, but since 1961 it has been recovering as a result of higher revenue due to the tax reform and more especially to the faster expansion of the economy. Although there has yet to be a return to the 1957 position, a fundamental improvement seems to be in progress that should not be lost sight of because of the poor results of 1963, which were largely accidental.

50. Compared with the situation in a number of countries with a similar economic structure (in particular the E.E.C. countries), the main characteristics of Belgium's public finances are:

—a level of expenditure which is about average (some 23 per cent of the G.N.P. over the whole period, compared with 20 per cent in Italy, and from 25 to 28 per cent in France, Germany and the Netherlands), but which has risen substantially over the seven years, while the growth in the national income remained slow;

—a very low level of revenue (about 20 per cent over the whole period, compared with 25 per cent for the other E.E.C. countries, excepting Italy);

—the size of the public debt, and consequently of the burden on the budget represented by its redemption—Belgium seems to carry very heavy charges on this account in spite of the reduction made since 1960;

—lastly, the great extent to which the central authorities rely on the capital markets at home and abroad to finance their expenditure. This dependence raises problems when—as happened in 1963—the buoyant state of the domestic economy leads to a bigger demand for capital by firms[2].

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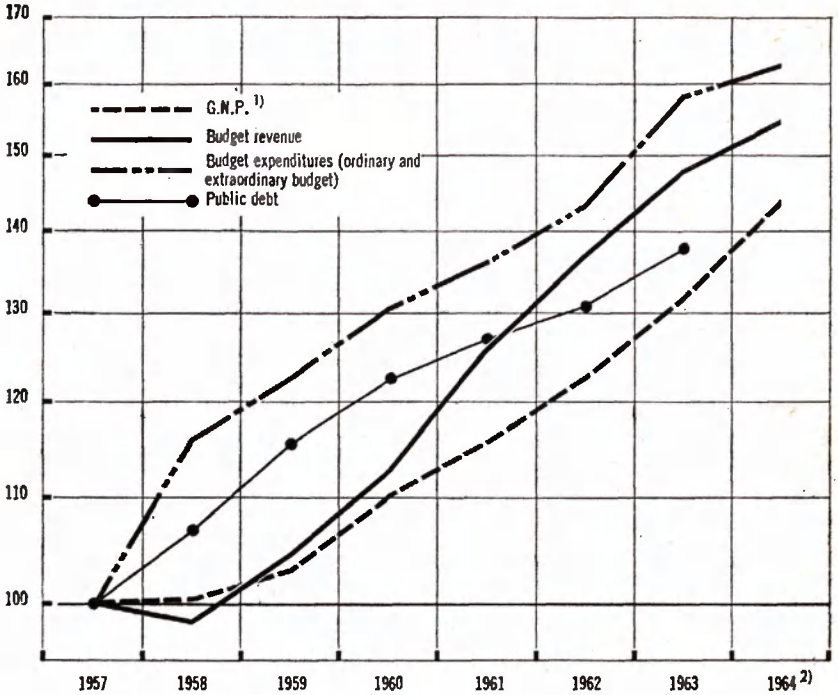
1. This part of the report is based on a study published as an annex to the 1963 Budget (General Survey: the Budget results from 1957 to 1962) and the submission by the Belgian Delegation to the O.E.C.D.

2. The central authorities' reliance on the capital market being due in part to the moderate level of taxation.

Diagram 3. GROSS NATIONAL PRODUCT AND PUBLIC FINANCES. 1957 = 100



1. At current prices and market prices.
2. Forecasts.

Source: Ministry of Finance.

Trend of Expenditure

51. The following table shows the trend of the main items of expenditure.

To make the data comparable, account has been taken of the items transferred from the extraordinary to the ordinary budget in 1961. Similarly, the results of the extraordinary budget have been affected by the inclusion in it of items of expenditure such as the Road Fund.

52. Since 1957 ordinary expenditure has been growing much more rapidly than national income (at the rate of 4.3 per cent per annum for the national income, and 7.2 per cent for ordinary expenditure)[1]. Extraordinary expenditure, on the other hand (mainly public investment and road construction expenditure) is growing more slowly than national income (3.7 per

1. Public expenditure is still increasing more slowly in Belgium than in most of the E.E.C. counties.

TABLE 14. TREND OF PUBLIC EXPENDITURE
TOTAL BUDGET EXPENDITURE FOR EACH FINANCIAL YEAR[1]

B. Fr. billions.

	1957	1958	1959	1960	1961	1962	1963[2]	1964[3]
1. *By budget :*								
Public debt	15.9	17.0	17.7	19.9	22.7	23.7	25.7	27.3
Pensions	13.2	15.3	16.1	17.3	17.2	19.0	20.2	21.1
National Defence and Gendarmerie	13.5	14.1	15.8	15.7	14.4	15.9	16.3	16.7
Foreign Affairs and Technical Assistance	1.2	1.0	2.8	4.4	5.4	4.4	4.2	3.4
Interior	8.9	9.3	9.2	9.2	9.5	9.9	10.1	10.5
Communications	6.4	8.1	7.1	7.9	7.2	7.7	9.0	8.9
Labour, Social security and Health	8.7	13.0	16.0	15.2	13.8	13.5	14.8	15.4
Education	11.0	12.2	15.8	20.3	21.5	24.2	27.5	28.2
Other ordinary budgets	12.6	14.5	13.6	12.1	13.2	15.7	15.6	17.2
Total ordinary expenditure	91.4	104.5	114.6	122.0	124.9	134.0	143.2	148.7
Total extraordinary expenditure	14.5	16.8	14.0	17.5	14.6	17.8	22.1	22.9
Total	105.9	121.3	128.6	139.5	139.5	151.8	165.3	171.6
2. *By type of expenditure :*								
Personnel	19.0	20.8	21.9	23.8	24.4	26.5	29.0	30.7
Pensions	13.2	15.3	16.1	17.3	17.2	19.0	20.2	12.1
Equipment	7.0	6.6	8.2	7.2	6.4	8.1	8.2	8.5
Grants	29.1	36.6	40.1	39.8	42.5	45.2	49.0	50.3
Advances, investments and debts	18.9	20.0	20.2	24.5	24.8	26.4	29.2	31.9
Fixed assets	11.8	14.3	13.7	15.7	11.4	14.8	18.0	18.1
Other	6.9	7.7	8.4	1.2	12.8	11.8	11.7	11.0
Total	105.9	121.3	128.6	139.5	139.5	151.8	165.3	171.6

1. For ordinary expenditure: amounts imputed for the financial year. For extraordinary expenditure: outgoings for the year.
2. Probable results for ordinary expenditure.
3. Initial credits for ordinary expenditure: forecasts of outgoings for extraordinary expenditure.

cent per annum). The point should be made here that public investment in Belgium is still low, and amounts at present to less than 2 per cent of the G.N.P. and 20 per cent of all investment. The rapid growth of ordinary expenditure is due to the increased cost of debt servicing (+ 8 per cent per annum on the average), pensions (+ 7 per cent) and, more than anything else, to education (+ 14 per cent per annum). Other items, on the other hand, have hardly increased at all. Extraordinary budget expenditure was very stable up to 1963.

53. The breakdown of expenditure [Table 14] shows the important reallocating function of the national budget; grants[1]

1. The scope of the item "grants" should be noted; it covers civil service pensions and grants for social security, education (nearly B.Fr. 20 billion in 1963), agriculture, and local authorities as well as various benefits for the middle classes.

have increased much more rapidly than the other items, while public investment expenditure increased only very slowly, especially up to 1962. And we have seen that in spite of its tendency to catch up during the last two years, the share of public investment in the national product remains extremely small[1].

Trend of Revenue

54. The revenue side of the ordinary and extraordinary budgets (with the exception of proceeds from loans) has been

Table 15. TREND OF ORDINARY AND EXTRAORDINARY PUBLIC REVENUE

FINANCIAL YEAR	TOTAL REVENUE			INDEX (RESULT) 1957=100
	INITIAL ESTIMATE	RESULT	DIFFERENCE	
1957	89.9	96.5	+6.6	100.0
1958	99.1	95.7	—3.4	99.2
1959	102.6	102.6	—	110.0
1960	111.5	110.2	—1.3	114.2
1961	123.5	121.1	—2.4	125.5
1962	132.3	133.0	+0.6	137.8
1963	140.2	142.0	+1.8	147.6
1964[1]	149.3	—	—	(155)

1. Forecast.
Source: Budget (parliamentary documents) and Memorandum.

growing by about 6.5 per cent per annum since 1957, a rate distinctly higher than that of the national income but lower than expenditure.

In general the results approximate closely to the initial estimates, except in 1957 and 1958 when cyclical movements (expansion in 1957, recession in 1958) gave rise to fairly marked divergences. Extraordinary revenue does not vary greatly, remaining in the neighbourhood of B. Frs. 0.5 billion. It is mainly derived from sales of government-owned assets (buildings, land, etc.). The main source of the increase in non-tax revenue was Post Office receipts and the yield of radio and television licences.

1. Public investment was 1.6 per cent of the G.N.P. in 1957 and 2.3 per cent in 1962.

TABLE 16. TAX REVENUE STRUCTURE

Percentages.

FINANCIAL YEAR	DIRECT TAXES		TAXES ON CAPITAL		CUSTOMS DUTIES		OTHER TAXES	
	%	*Index*	%	*Index*	%	*Index*	%	*Index*
1957	38	100	6	100	7	100	49	100
1958	37	95	6	94	7	97	50	100
1959	37	103	6	104	6	90	51	112
1960	38	113	6	113	6	100	50	117
1961	36	119	6	126	6	108	52	133
1962	38	141	5	126	6	110	51	144
1963	38	148	6	137	5	117	51	154
1964 (Forecast) .	37	152	5	140	5	123	53	165

Source: Budget and Memorandum.

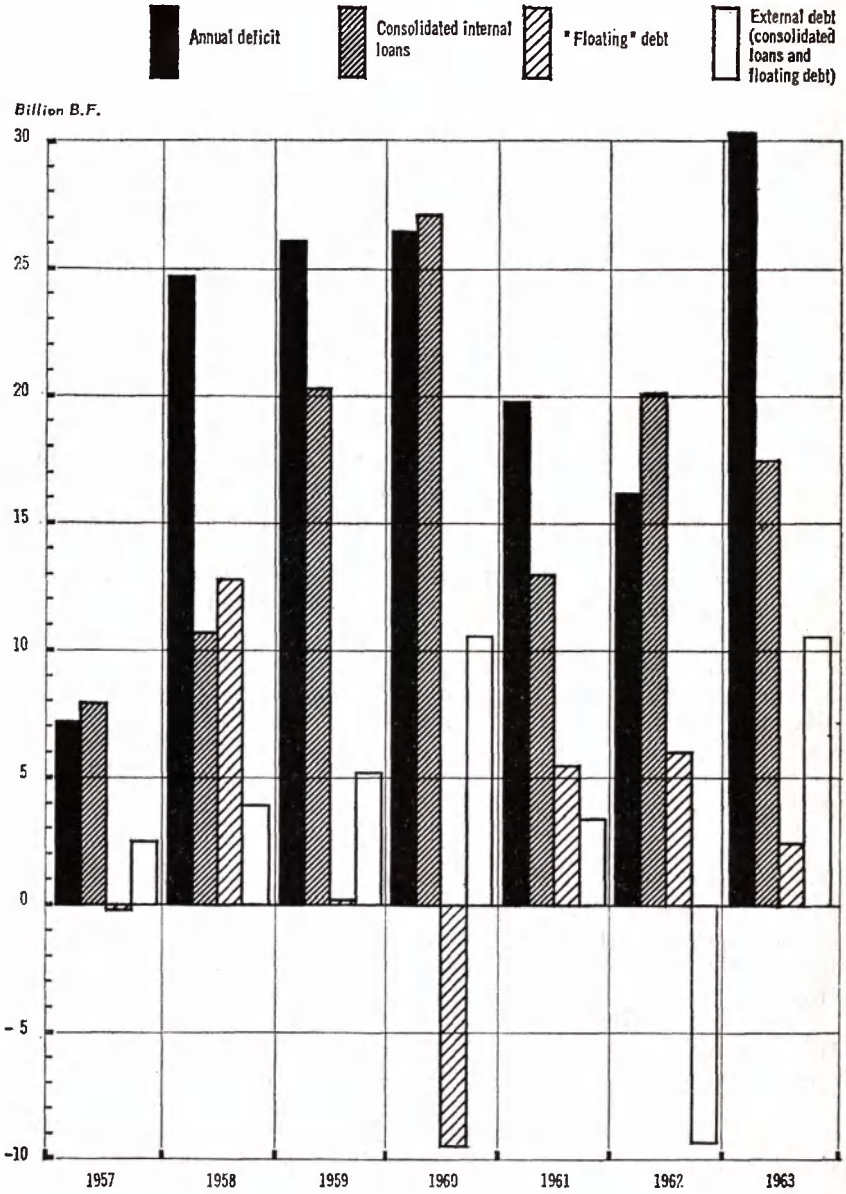
55. Three quarters of the rise in tax revenue is attributable to the increase in the taxable substance[1] and one quarter to a change in rates of tax. They were distributed as follows over the period.

The share of indirect taxes has been tending to grow since 1692. This trend is only partly due to the law of 14th February, 1961, which reformed indirect taxation; of the large increase in indirect taxation since 1957 (plus B. Fr. 33 billion) about 40 per cent is due to the raising of rates of tax (mainly the taxes on mineral oils and transmission taxes), and 60 per cent to the increase in the taxable substance. The trend in customs revenue reflects the lowering of customs barriers within the E.E.C., for although the value of imports increased by some 50 per cent from 1957 to 1963, customs receipts increased by only 15 per cent.

56. The share of direct taxation was steady until 1962 and has since tended to decline. It is not yet possible to judge the effect of the income tax reform of 20th November, 1962, on this trend. Increases in tax rates have probably been more than offset by various exemptions (for the joint earnings of husband and wife, lower rates for small incomes, etc.); and the original purpose of the legislators seems to have been to spread taxation more equitably rather than increase it. The better machinery of assessment due to unification of the tax, and the reduced opportunities for evasion resulting from a more careful check on incomes, should in the long run lead to a large increase in revenue. It is still too soon to judge the real effect of

1. Including the effects of certain progressive taxes.

Diagram 4. TREASURY DEFICIT AND VARIATION OF THE PUBLIC DEBT



Source: Ministry of Finance.

the reform which only came into effect for corporations in 1963[1] and for private individuals in 1964[2], and allowing for various exemptions the reform will not become fully effective until the 1965 financial year.

Financing the Deficit and the Public Debt

57. The trend of public finance since 1957 has been characterised by the persistence of a very large deficit. The balancing of the ordinary budget has undoubtedly been substantially improved since 1961, but the deficit on the extraordinary budget has remained very large, growing appreciably in 1960 (as a result of events in the Congo) and in 1963 (as a result of increases in civil investment expenditure and in military expenditure charged to the extraordinary budget). Throughout the whole period the deficits have been covered by borrowing, a very large proportion of the funds being obtained abroad, either when expenditure was exceptionally high (as in 1960) or when the domestic

Table 17. CASH POSITION

(for each calendar year)

Billions of B. Fr.

Year	Budget surplus or deficit		Total deficit	Consolidated domestic loan	How deficit is covered			
	Ordinary	Extraordinary			Floating domestic debt	External loan	Other funds ("Fonds de tiers")	Balance (increase—decrease+)
1957	+7.8	—15.0	—7.2	+7.9	—0.2	+2.5	—2.1	—0.9
1958	—7.1	—17.6	—24.7	+10.8	+12.7	+3.9	—1.7	—1.0
1959	—8.2	—17.9	—26.1	+20.3	+0.2	+5.2	—1.0	+1.4
1960	—3.1	—23.4	—26.5	+27.1	—9.4	+10.6	—0.2	—1.6
1961	—5.6	—14.2	—19.8	+13.0	+5.5	+3.4	—2.4	+0.3
1962	+1.1	—17.3	—16.2	+20.1	+6.0	—9.3	—0.5	—0.1
1963	—1.8	—21.6	—23.4	+17.4	+2.4	+10.5	—5.4	—1.5
1964	0	—19.0	—19.0	—	—	—	—	—

1. Provisional.

Note: The above table gives the changes in the cash position recorded over the calendar year and not the results of the financial year which runs from March to February.

market could not meet the State's need for finance because of a strong demand from enterprises and the public's preference for very liquid investments.

1. 1962 incomes.
2. 1963 incomes.

58. This situation presents some risks for the financial equilibrium of the national economy as a whole, since the Government is borrowing from the capital market on a very large scale. Throughout the period 1956-1961[1] more than 60 per cent of all new issues was accounted for by net medium and long-term issues by the State and financial intermediaries in the public sector, and this share seems to have increased still further in 1962 and 1963, when it was around 70 per cent. This specific situation and its effect on the conditions for achieving financial equilibrium were the subject of close study in 1962 by a Government Commission headed by Mr. De Voghel which put forward a number of proposals relating especially to a pattern of taxation and to financial circuits.

59. It would be misleading to infer from the situation of Belgium's public finances that the State is depriving industry of funds which could have been used for investment; in the first place, a large proportion of the issues made by the financial intermediaries in the public sector is paid back (in particular by the Société Nationale d'Investissement and the Société Nationale de Crédit à l'Industrie) to the private sector, the State's function being to redistribute savings selectively according to certain criteria and not to mobilise them to no productive purpose; secondly, it is by no means certain that the funds not taken up by the State would move into industry; taking into account the particular reaction of Belgian savers it is, on the contrary, likely that they would have been put into very liquid forms of saving or even hoarded in the form of bank notes.

60. The fact remains that a reform of the public finances is one of the major requirements of the Belgian economy if it wishes to continue the growth process started two years ago. The authorities are trying to carry out this reform by balancing current revenue and expenditure and by reserving borrowed funds for investment purposes. There is some reason to think, however, that the aim should be the more ambitious one of a surplus on the ordinary budget in order to release resources for financing the extraordinary budget, for the burden of public debt is such that it would seem difficult to increase it appreciably in the future.

61. Sounder public finances should result not from a reduction of public expenditure, which is already on a limited scale in Belgium, but from an increase in revenue. This increase could be obtained as a result of the increasingly strong process of economic growth which began two years ago, and from the

1. According to the estimates of the De Voghel Committee, 31st March, 1962.

generalised application of the tax reform of 1962. Lastly, plans to reform indirect taxation, proposed in the report of the De Voghel Commission, are now being worked out, which if given effect should also increase revenue substantially; the idea is to introduce a system of added value tax, (comparable to the French T.V.A.) in order to gradually replace the present cumulative transmission tax (which, Belgian experts say, encourages the concentration of industries but hampers specialisation).

62. The variation of the public debt reflects the size of the budget deficit which remains after deduction of amortization and redemption payments, and the increase in indirect debt. The financial management of the public institutions other than the central Government also has an important effect on variations in the debt. During the period under review, the public debt position has grown alternately worse and better; from 1958 to 1960, the very heavy budget deficit was accompanied by a rapid increase in public debt. From 1961 to 1962, in connection with various measures to put the public finances on a sounder footing, there was a reduction both in the budget deficit and in the rate of increase of the debt, the latter's share in the gross national product being appreciably reduced (66 per cent in 1962 compared with 70 per cent in 1959). In 1963 bigger extraordinary and road fund expenditure and the effects of a hard winter caused the public debt to rise rapidly. In 1964, the budget deficit should be brought back to a level below that of 1963 and the debt should rise much more slowly. The results of the first quarter confirm this supposition; the short-term internal debt, which had gone up by B. Frs. 9.7 billion in the corresponding period of 1963, went down by 0.7 billion, while short-term external debt dropped by 0.1 billion in the first quarter of 1964, compared with an increase of 3.6 billion in the first quarter of 1963. Finally, for the first four months of the year, the increase in total debt was 15.2 billion in 1963 and 8.1 billion in 1964. These few figures suggest that the turn for the worse in 1963, was largely accidental in origin (a harsh winter, investors' mistrust of the effects of the tax reform, expenditure made in advance which need not have been made until the beginning of 1964, and an appreciable increase in extraordinary expenditure). The medium-term trend would therefore point to a basic improvement in the state of the public finances. However, in view of the size of the public loans recently subscribed or planned for 1964 there is reason to think that the burden of public debt will continue to be a very heavy one in the years ahead. It seems essential therefore to ensure that Belgium's economy will grow fast enough for it to carry this burden without difficulty.

CONCLUSIONS

63. In spite of some tightness of the labour market, the Belgian economy made in general satisfactory progress in 1963. The expansion will probably continue in 1964, bearing in mind the foreseeable trend of domestic demand for consumption and investment, and that of exports.

64. These developments do not seem likely to aggravate appreciably the distortions observed in 1963 (a rise in domestic prices, the worsening trend of the balance of payments). However, labour shortages are likely to be felt more acutely than last year, particularly as it will be increasingly difficult to call on foreign labour. This situation may cause wages to rise more rapidly, but in view of the rapid rise in productivity, there is reason to think that it should not result in serious inflationary pressure.

65. The situation in 1964 undoubtedly presents some dangers, but it seems difficult to recommend that they call for a strengthening of the stabilization measures already taken and a deliberate curtailment of the present process of growth. It is only since 1962 that the Belgian economy seems to have emerged from a period of stagnation and of fairly considerable under-employment. Between 1957 and 1962 its average growth rate lagged far behind that of the other E.E.C. countries and of most O.E.C.D. countries. A development programme adopted for the period 1962 to 1965 with a target of a 4 per cent growth per year in the Gross National Product has so far been carried out satisfactorily. It would be harmful to the future expansion of the Belgian economy to apply the brake so abruptly as to compromise not only the objectives of this programme, but also the long-term growth prospects of an economy which has only just rid itself of stagnation and unemployment. This does not mean that the restraining action already taken (selective control of credit in particular) should be abandoned, but that in the present context it seems inopportune to intensify it.

66. On the other hand, structural policies aimed either at increasing the potentialities of supply (public investment, modernisation of agriculture, employment policy) or harmonizing the growth of incomes by multiplying contacts between the State, employers, and the unions, seem wholly desirable and should be strengthened in future.

67. In spite of considerable efforts to do so, the Belgian economy has not yet solved the problem of the equilibrium of its public finances. This equilibrium may perhaps be achieved in the future by cutting back a certain amount of ordinary expenditure, whereas it seems difficult to reduce the size of the extraordinary budget in an economy where public invest-

ment—in spite of its recent expansion—still holds a relatively small place. The solution seems to lie rather in an increase in revenue made possible by continued expansion of the economy, and by the generalised application of the tax reform. The public debt will, in spite of all this, probably increase very sharply in the years ahead. For this reason too it seems desirable that the Belgian economy should continue on the expansionary course started two years ago, so as to widen the taxable base and reduce the burden of public debt relative to the national economy as a whole. Both the size of the public debt and the tendency towards long-term growth will probably, however, entail difficult problems in financing the economy that can be solved only by a thorough reform of the present financial system and by a greater participation of private saving in productive investment; in this connection, it is to be hoped that the proposals for the reform of the capital market made by the De Voghel Committee in 1962 will shortly be implemented by the authorities.

68. The Luxembourg economy experienced a certain recovery in 1963, and judging from the results of the first few months, it seems bound to grow stronger in 1964; however, there is no doubt that the present prospects are solely due to favourable developments in the iron and steel industry. In the long run it would be desirable to envisage a certain degree of economic reconversion, so that the country will be less dependent on fluctuations in the international demand for a single product.

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STATISTICAL ANNEX

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TABLE I. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

	UNIT OF BASE	1962	1963	1962 1st QUARTER	1962 2nd QUARTER	1962 3rd QUARTER	1962 4th QUARTER	1963 1st QUARTER	1963 2nd QUARTER	1963 3rd QUARTER	1963 4th QUARTER	1964 1st QUARTER	1964 APRIL
INDUSTRIAL PRODUCTION INDICES[1]:													
1. General (non-adjusted)	1953 = 100	143	152	140	145	137	149	143	157	145	162	160	167
2. General (seasonally adjusted)	Monthly average	—	—	140	141	145	145	144	153	152	157	161	162
3. Mining and quarrying	Monthly average not	77	80	75	80	72	82	76	84	73	86	83	
4. Manufacturing	seasonally ajusted	157	167	154	158	151	163	157	173	161	177	176	
5. Building materials[2]		156	159	143	162	158	151	122	167	170	177	173	167
6. Basic metals		156	163	158	160	148	158	160	164	155	171	181	193
7. Metal product		159	178	156	163	150	165	158	192	170	193	198	
8. Textiles		131	141	127	132	120	144	137	146	126	154	147	
9. Food, beverages and tobacco		134	139	119	129	149	137	125	138	151	141	130	
10. Chemical products		2,100	207	210	210	210	209	211	211	200	205	213	
BUILDING ACTIVITY[2]:													
11. Licences granted	Total for the period	51,983	46,475	12,593	11,364	12,989	11,521	11,481	12,730	11,427	10.837		
12. Buildings completed	1953 = 100	42,407	34,608	7,316	8,886	10,674	9,870	6,731	8,681	9,029	10.167		
13. RAILWAY FREIGHT (inland)[2]	Standard months	75	78	72	79	72	81	79	80	72	83	68	74
EMPLOYMENT INDICES[2]:													
14. Industries as a whole	1953 = 100	96	97	96	95	96	96	96	97	98	99	99	99
15. Fuel and energy	Non-adjusted	62	55	57	56	56	56	55	54	54	55	55	55
16. Primary metals	monthly averages	110	107	108	107	106	107	106	106	108	108	106	106
17. Metal products		116	126	120	121	122	123	122	125	149	128	128	129
18. Chemical products		113	113	118	117	114	112	113	113	113	110	109	109
19. Textiles		84	85	84	82	83	84	84	85	86	87	87	86
20. Food		97	98	93	94	99	100	95	96	100	102	96	95
21. Total employment in industry, in constructions and transport		95	94	94	95	95	95	93	97	98	97	98	99
UNEMPLOYMENT													
22. Wholly unemployed[3] M	Thousands	50.1	42.1	52.0	25.5	21.4	24.9	53.6	39.2	36.1	39.5	41.1	
23. Wholly unemployed[3] F	monthly averages	20.8	17.0	22.7	16.1	13.0	14.5	21.1	16.3	14.6	15.8	16.2	
24. Wholly unemployed[3] T		70.9	59.1	74.6	45.5	34.4	39.4	74.7	55.5	50.7	55.3	57.3	
25. Partial and casual unemployment[3] M		29.0	43.8	54.1	12.4	10.3	38.6	126.5	8.5	6.4	33.4	44.1	
26. Partial and casual unemployment[3] F		9.4	6.4	12.2	9.6	7.3	8.7	9.7	5.7	4.2	6.0	6.2	
27. Partial and casual unemployment[3] T		38.5	50.2	66.3	22.0	17.6	47.4	136,2	14.2	10.6	49.4	50.3	
28. Total unemployment[3]		109.4	109.3	140.9	63.5	52.0	86.8	210.9	69.7	61.3	94.7	107.6	
29. Wholly unemployed[1]	Thousands			58	44	41	39	48	31	25	29	26	27
30. Unfilled vacancies[1]	monthly averages seasonally adjusted			15.7	15.2	14.3	18.2	15.8	17.6	17.2	18.7	17.5	12.9

1. O.E.C.D. Statistical Bulletins.
2. Statistical Bulletins of the Institut National de Statistiques.
3. Service mensuel de Conjoncture de l'Institut de Recherches économiques et sociales de l'Université de Louvain.

Table II. WAGES AND PRICES

	Unit or base			1962				1963				1964	
				1st quarter	2nd quarter	3rd quarter	4th quarter	1st quarter	2nd quarter	3rd quarter	4th quarter	1st quarter	April
1. Index of wages and allowances in industry and transport (excluding mining) Base: married man with 2 children[2]	1953 = 100 end of period	144.4		138.7	145.2	144.8	148.9	151.3	157.5	157.9	162.6	165.9	
2. Consumer price index (official)[1]	1953 = 100 monthly averages	112.6	115.0	111.6	113.4	112.8	112.8	114.1	114.4	115.1	116.7	117.9	118.2
3. Wholesale price index[1]		103.2	105.7	103.4	103.6	102.1	103.6	105.5	105.1	105.0	107.4	109.2	1.010

1. O.E.C.D. Statistical Bulletins. General Statistics.
2. Service mensuel de conjoncture de l'Institut de recherches économiques, sociales et politiques de l'Université de Louvain.

Table III. MONEY AND BANKING

	Unit of base	1961	1962				1963				1964	
			1st quarter	2nd quarter	3rd quarter	4th quarter	1st quarter	2nd quarter	3rd quarter	4th quarter	1st quarter	April
1. Money supply[1]	Billions of Belg. fr. end of period	237.4	236.3	245.0	246.7	254.5	262.6	272.6	267.8	278.9	274.3	276.0
Commercial bank deposits[1]												
2. Sight deposits and less than one month		72.9	73.8	75.6	75.7	76.8	79.9	84.2	81.9	86.7	86.6	
3. Other deposits		48.2	52.5	53.1	55.6	54.2	56.8	57.8	60.2	63.6	66.9	
Short-term credit granted to the economy[1]: Credit to the private sector:												
4. By the Central Bank		2.7	2.0	1.7	1.7	6.3	0.3	2.8	8.0	9.6	6.4	4.1
5. By the Commercial Banks		36.2	58.8	60.6	64.1	65.5	74.4	81.2	85.5	89.9	91.6	
6. Credit to Government by the Commercial Banks		65.6	64.5	65.8	66.7	64.8	92.8	97.8	98.1	97.8	100.5	
Savings:												
7. Deposits at the « Caisse générale d'Epargne et de retraite ».		84.6	86.8	87.4	89.0	92.7	93.9	93.6	95.0	98.0	98.1	97.8
Interest rates[2]:												
8. Rediscount rate	Percentage end of period	4.5	4.0	4.0	3.75	3.50	3.50	3.50	4.0	4.25	4.25	4.25
9. Call money (day to day) rate	Average period	2.42	1.63	1.96	2.53	2.35	1.98	2.19	2.55	2.75	3.77	3.16
10. Interest on 6 months, Treasury bills	Percentage beginning of period	4.70	4.28	3.54	3.37	3.33	3.36	3.45	3.57	4.07	4.75	4.95
11. Interest on 5 to 20 years, Government loans	Percentage beginning of next period	5.74	5.37	5.21	4.95	4.96	4.90	5.03	5.12	5.32	5.50	5.57

1. O.E.C.D. Statistical Bulletins. General statistics.
2. Bulletins d'information et de documentatuon de la Banque nationale de Belgique.

Table IV. PUBLIC FINANCE

	Unit or base	1962	1963	1962 1st quarter	1962 2nd quarter	1962 3rd quarter	1962 4th quarter	1963 1st quarter	1963 2nd quarter	1963 3rd quarter	1963 4th quarter	1964 1st quarter	1964 April
Execution of budget: (actual receipt and expenditure):													
1. Receipts	Billions of Belg. fr. total for the period	131.7	140.0	31.7	30.3	32.4	37.3	32.8	31.3	40.0	35.9	35.8	
2. Expenditure		147.9	163.4	40.9	35.0	33.5	36.5	44.8	36.9	37.9	43.8	46.3	
3. Balance		—16.2	—23.4	— 9.2	— 4.7	+ 1.1	— 0.8	—12.0	— 5.6	+ 2.1	— 7.9	— 7.8	
Situation of public debt:													
4. Consolidated internal debt	Billions of Belg. fr. end of period	251.6	261.6	222.6	220.7	223.4	251.6	254.6	254.0	256.7	261.6	270.1	269.3
5. Consolidated external debt		19.5	18.4	18.7	19.9	19.7	19.5	19.3	19.0	18.7	18.4	18.2	18.1
6. Medium and short term internal debt		107.0	108.6	125.5	135.1	135.2	107.0	121.6	113.7	109.2	108.6	100.8	101.8
7. Medium and short term external debt		17.6	28.1	26.4	20.1	18.4	17.6	21.2	24.3	25.1	28.1	29.3	29.8
8. Total debt		423.2	446.0	418.6	421.1	421.9	423.2	435.2	438.4	436.8	446.0	449.5	453.1

1. Bulletins de documentation du Ministère des Finances.

Table V. FOREIGN TRADE (B.L.E.U.)[1]

	Unit or base	1962	1963	1962 1st quarter	1962 2nd quarter	1962 3rd quarter	1962 4th quarter	1963 1st quarter	1963 2nd quarter	1963 3rd quarter	1963 4th quarter	1964 1st quarter	1964 April
1. Net gold and foreign exchange held by the central bank	Millions of $ end of period	1,622	1,802	1,622	1,603	1,626	1,622	1,729	1,763	1,759	1,802	1,794	1,789
2. C.I.F. imports	Millions of $ monthly average	373	426	367	378	344	402	380	419	429	476	483	513
3. F.O.B. exports		362	404	366	364	342	376	365	414	399	438	458	489
4. Trade balance		— 11	— 22	— 1	— 14	— 2	— 26	— 15	— 6	— 30	— 37	— 26	— 24
5. C.I.F. imports	Millions of $ monthly average seasonally adjusted			357	382	366	391	375	406	420	437	471	497
6. F.O.B. exports				359	359	367	366	365	406	427	421	458	446
7. Trade balance				+ 2	— 23	+ 1	— 25	— 10	+ 1	+ 8	— 16	— 13	— 51
Volume indices													
8. Imports	1953 = 100 seasonally adjusted	198		192	198	186	214	202	225	228	250		
9. Exports		203		204	205	192	211	206	234	223	243		
10. Imports				205	203	199	208	200	220	224	227		
12. Exports				202	201	208	206	206	234	223	243		
12. Terms of trade		102		101	101	103	102	101	101	102	102		

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